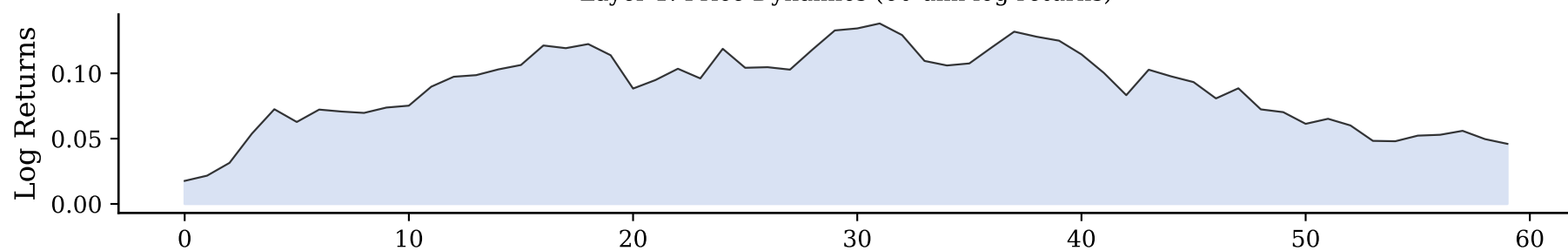
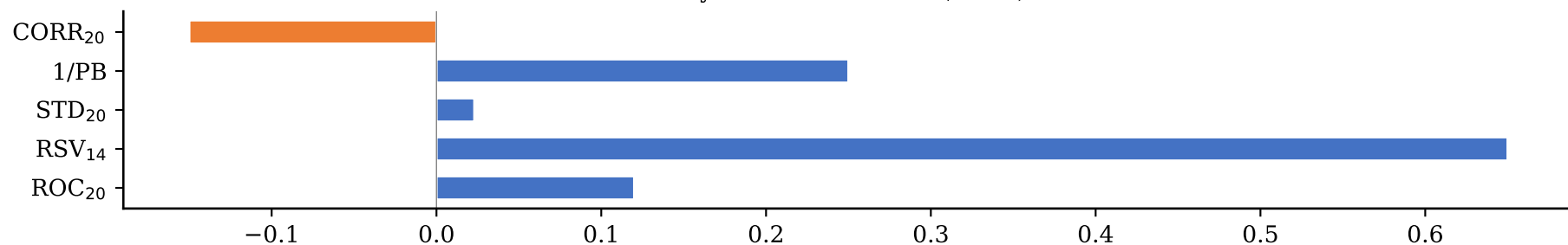


Figure 7: Hierarchical State Space Decomposition

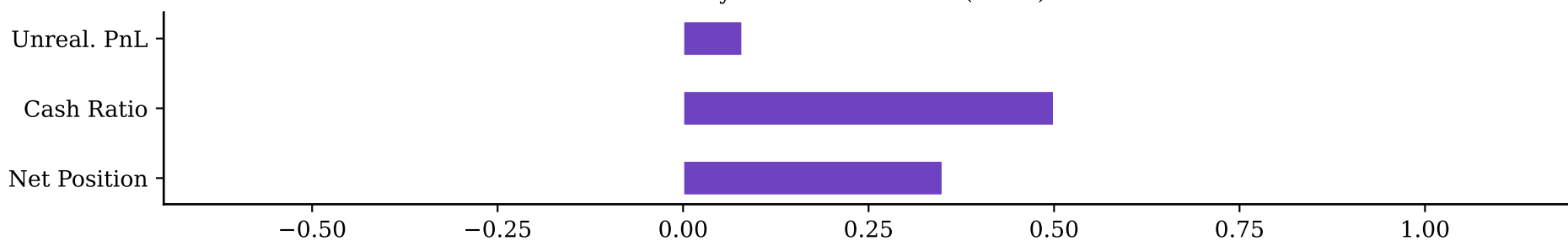
Layer 1: Price Dynamics (60-dim log returns)



Layer 2: Factor Values (5-dim)



Layer 3: Portfolio State (3-dim)



Layer 4: Market Context (11-dim)

